#14 · 3.4% of marks

# Ch 7 — Securitization

Pure theory — every list matters. SM TYK theory Qs: **PTS vs PTC** (para 7) · **problems in securitisation, especially in India** (para 6).

## ① Why & what (SM 1–2)

→ *Firms with large receivables still face a liquidity crunch; borrowing changes D/E and adds financial risk → **securitisation***

→ *Creation of a pool of assets from illiquid financial assets (receivables, loans) that are marketable — **repackaging / rebundling illiquid assets into marketable securities** (auto loans, credit-card receivables, residential mortgages, future receivables)*

→ ***RBI**: transactions where **credit risks in assets are redistributed** by repackaging them into tradable securities*

### Features (6)

*(i) **Creation of financial instruments** backed by collateral (ii) **Bundling** (pooling) & **unbundling** (fixed-denomination instruments) (iii) **Risk-management tool** — on non-recourse basis, default risk shifts from originator to investor (iv) **Structured finance** — tailored to investors' risk-return profile (v) **Tranching** — pool split by risk & return (vi) **Homogeneity** — securities in a tranche are homogeneous, small denominations for small investors*

## ② Benefits (SM 3)

### Originator (4)

*(i) **Off-balance-sheet financing** → frees capital, better liquidity, expansion (ii) **specialisation** in core business — servicing moves to SPV; non-recourse shifts default burden (iii) better **financial ratios** — banks / FIs manage capital-to-risk-weighted-asset ratio (iv) **lower borrowing cost** — rated papers (credit enhancement) issued at lower rates → originator earns a spread*

### Investor (3)

*(1) **Diversification** — backed by different asset types (2) **Regulatory requirement** — eg buying micro-industry-backed assets meets RBI **Priority Sector Lending** (3) **Protection against default** — recourse to originator; insurance*

THEORY

## ③ Participants (SM 4)

| Primary | Role |
|---|---|
| ***Originator*** | *Initiator / securitizer; sells assets on its books, receives funds; transfers **legal and beneficial interest** to SPV* |
| ***SPV*** | *Created only to execute the deal (company, firm, society or trust); holds legal title; **ring-fences** assets from originator's balance sheet; pays originator upfront; issues **ABS / MBS*** |
| ***Investors*** | *Individuals, MFs, PFs, insurers, FIs; receive interest and principal* |

| Secondary | Role |
|---|---|
| ***Obligors*** | *Owe money to the originator — "**main root**" of the process; their credit standing is paramount* |
| ***Rating agency*** | *Assesses: strength of cash flow · mechanism for timely interest & principal · credit quality of obligors · liquidity support · strength of legal framework* |
| ***Receiving & paying agent*** *(servicer)* | *Collects from obligors, passes to SPV, follows up defaulters / legal action; usually the originator or affiliate* |
| ***Agent / trustee*** | *Oversees that all parties perform; protects investors* |
| ***Credit enhancer*** | *Originator (over-collateralisation, cash collateral) or third party / bank (letter of credit, surety bond)* |
| ***Structurer*** | *Investment banker / arranger; brings parties together; ensures legal, regulatory, accounting, tax compliance* |

## ④ Mechanism (SM 5) — 7 steps

1. ***Create pool*** — *segregate similar assets (for MBS: interest rate, risk, maturity, concentration)*
2. ***Transfer to SPV***
3. ***Sale of securitised papers*** — *SPV designs instruments by interest, risk, tenure, pool (pass-through / pay-through)*
4. ***Administration*** — *sub-contracted back to the originator, who collects and passes to SPV for a fee (servicer / conduit)*
5. ***Recourse to originator*** — *unless specified otherwise, defaulted receivables go back to the originator*
6. ***Repayment*** — *SPV pays investors interest & principal from the pool*
7. ***Credit rating*** *of instruments before sale*

## 5 Problems, especially in India (SM 6) — TYK Q2

| Problem | SM |
|---|---|
| **Stamp duty** | Transfer of Property Act 1882 — on mortgage debt up to **12%** in some states. **PTCs exempt** (evidence only a receivable, not debt); some states reduced duty |
| **Taxation** | No specific IT Act provision — SPV taxed as representative trustee, or investors on their share? capital-gain implications unclear |
| **Accounting** | Off-balance-sheet in name, but receivables leave the books — problem esp. on transfer **without recourse** |
| **Lack of standardisation** | Each originator uses own documentation & administration |
| **Inadequate debt market** | No developed secondary market for ABS |
| **Ineffective foreclosure laws** | Lenders struggle to transfer property on default → MBS less attractive |

## 6 Instruments (SM 7) — TYK Q1

| Basis | Pass Through Certificate (PTC) | Pay Through Security (PTS) |
|---|---|---|
| Cash flows | **All** receipts (interest + principal) passed on **immediately** | SPV **debt** securities backed by the assets — servicing **desynchronised** from asset cash flows |
| Investor's claim | Direct, **proportional beneficial interest** in assets held in trust | Claim on SPV's debt securities |
| Prepayment | Distributed proportionately → **skewed** early cash flows | Surplus can be **reinvested short term** by SPV |
| Maturity | **Single** — all terminate together on final payment | **Several tranches** with varying maturities |

**Stripped securities**: cash flows split into **Interest Only (IO)** and **Principal Only (PO)**; highly volatile → less preferred. Yields **rise** → borrowers postpone repayment of cheaper loans → **PO price falls**; IO value **rises** (more interest). Rates **fall** → borrowers prepay → IO falls. Prices driven mainly by investor perception.

## 7 Pricing (SM 8)

- → **Originator's angle**: price at a rate whose outflow can be amortised over time by investing the amount raised
- → **Investor's angle**: discount best estimate of expected cash flows at the **YTM of a comparable security** (credit quality, average life); or use the yield curve + **spread** for the credit quality

## 8 Risks (SM 9)

- → **Credit / counter-party** — prime risk; bankruptcy and non-performance of the **servicer**
- → **Legal** — recent concept in India; no conclusive precedent or explicit statute → disputes over ownership create pay-out uncertainty
- → **Market**: (a) **macro-economic** — eg fall in industrial production hits commercial-vehicle operators → CV loan repayments; fall in CV prices → wilful default and repossession (b) **prepayment** — rates fall → retail prepayments → **reinvestment risk** (c) **interest rate** — floating pool vs fixed pay-outs (or vice versa) → shortfall even at 100% collection; hedge with **interest rate swaps**

## 9 Blockchain & tokenization (SM 10)

- → **Blockchain / DLT**: shared, peer-to-peer, decentralised, open ledger with no trusted third party; **append-only** — entries permanent, transactions irreversible (changes recorded as new transactions); not controlled by any bank, corporation or government. Analogy: a **shared Google Doc**
- → Flow: transaction initiated → broadcast → network validates using **cryptography** → represented as a block → block added to chain → complete

### Applications (5)

(a) **Financial services** — automated trade lifecycle / transaction log of assets (b) **Healthcare** — secure, private, interoperable data (c) **Government** — land & vehicle registration, e-voting (d) **Travel** — payments, passports / IDs, reservations, insurance, loyalty (e) **Economic forecasts** — decentralised prediction markets, voting, trading

### Risks (4)

(i) members' different **risk appetites**; who manages risk / accountability with no one in charge (ii) reliability depends on technology — tampered **consensus mechanism** makes data unreliable (iii) no central authority → hard to maintain **process controls**, understand general IT controls (iv) **information overload**; hard to find competent monitors

**Tokenization** = converting tangible and intangible assets into **blockchain tokens** (real estate, artwork). **Similar to securitisation** in: (i) **liquidity** for illiquid assets (ii) **diversification** (iii) **tradable** → wealth (iv) **new fee opportunities** for institutions.

## 10 Securitisation in India (SM 11)

Pioneered by **Citi Bank** (auto loans); then sales-tax deferrals, aircraft receivables. **SARFAESI Act 2002** — tackle NPAs without court. Now key funding for MFIs and NBFCs; CMBS emerging; dominated by few players (ICICI Bank, HDFC Bank, NHB). CRISIL: volumes may return near pre-pandemic high of **₹1.9 trillion** (FY19 & FY20). SEBI allows **FPIs** into securitised debt of unlisted companies up to a limit.

LINKS

## 11 Correlation — how Ch 7 actually connects

| Ch 7 idea | The actual link (app-written cross-reference; the Ch 7 side is SM) |
|---|---|
| *Tranching* | ***Ch 9**: CDOs use the same senior / mezzanine / equity tranches — losses hit the lowest tranche first; CDS transfers the credit risk of the tranche.* |
| *Pricing at YTM of comparable + spread* | ***Ch 5**: bond value = PV of expected cash flows at YTM; spread over the yield curve for credit quality.* |
| *IO / PO price behaviour; prepayment risk* | ***Ch 5**: price-yield relationship and reinvestment risk; **Ch 12**: embedded option risk (prepayment) and reinvestment risk in banks' gap analysis.* |
| *Floating pool vs fixed pay-outs* | ***Ch 12**: hedge the mismatch with an interest rate swap (pay floating received from the pool, receive fixed).* |
| *Off-balance-sheet, non-recourse* | ***FR Ind AS 109**: derecognition only if substantially all risks & rewards are transferred — **with recourse**, the receivables usually stay on balance sheet (the SM's "accounting problem").* |
| *Investor diversification* | ***Ch 6**: a pool of many obligors diversifies unsystematic (individual default) risk; systematic (macro) risk remains — the SM's "macro-economic risk".* |
| *SARFAESI, foreclosure* | ***Ch 14**: SARFAESI also requires valuations in restructuring; **AAA**: NPA / bank audit context.* |
| *Blockchain risks* | ***AAA**: general IT controls, consensus-mechanism reliability = audit of automated environments.* |

## 12 Write-in-exam lines

> ✍ **Write in exam**
> *"Securitisation is the process of repackaging illiquid financial assets such as receivables and loans into marketable securities. The RBI defines it as transactions where credit risks in assets are redistributed by repackaging them into tradable securities."*

> ✍ **Write in exam**
> *"In a pass-through certificate all cash flows from the pool are passed to investors immediately and all certificates mature together; a pay-through security is a debt security of the SPV backed by the assets, which permits tranches of different maturities and short-term reinvestment of surplus cash."*